

MBA27 Advanced Finance

Disclaimer: Please note that this is a draft version of the course outline which is intended to serve as a reference during your advanced course selection. It has not been formally approved yet. The final version will be shared in the respective Canvas site once it's ready.

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FACULTY INFORMATION

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Canvas course link	TBA

FACULTY BIO



Claus Schmitt works at the Rotterdam School of Management (Erasmus University) as Senior Lecturer. His research interests include financial distress, asset pricing, and market microstructure. Claus holds a Ph.D. from the Karlsruhe Institute of Technology, and an MBA from ESSEC Business School.

More information on Claus' teaching philosophy and activities can be found on the following website: <https://www.clausschmitt.com/teaching>

ABSTRACT

This course teaches a general management perspective on financial decision making and provides participants with the skills and knowledge to increase the value of a corporation. The course should appeal to participants who want to work as finance executives within a corporation, consultants, investment bankers, private equity, or venture capital investors. The course is also suited for participants who simply want to extend their finance knowledge beyond the financial management courses.

EDUCATIONAL GOALS

Learning areas	Educational Goals
I. Content- related	Judge investment and funding decisions based on financial theory
	Discuss whether and how companies should (not) engage in risk management
	Evaluate monetary policy decisions
II. Skills-related	Implement risk management tools
	Develop corporate hedging strategies
	Solve a bargaining problem using game theory
III. Attitude-related	Investigate the use of (inner) models to explain real-world phenomena
	Reflect on your own behavior in a bargaining situation

FIT WITHIN THE RSM ERASMUS MBA AND RELATION TO THE RSM MISSION: A FORCE FOR POSITIVE CHANGE*

This course builds on the financial management courses in the full-time MBA program and teaches participants the management of financial risks in internationally operating firms. During the course, financial risks on a firm level are related to macro-economic developments that provide a holistic perspective on managing a firm and developing a corporate strategy. In this context, development countries are discussed that pose unique challenges for managing financial risks. In addition, participations learn to understand financial risks arising from the global climate crisis and the role of weak institutions in developing countries.

* It's RSM's mission to be a force for positive change in the world. For this, RSM is committed to the United Nation's [17 Sustainable Development Goals](#) as the framework for defining 'positive change'. For the purpose of the RSM Erasmus MBA, we strive to provide our students with the opportunity to master competencies that enable them to successfully lead teams, business units and organizations while they navigate and accelerate transitions towards more just, sustainable and resilient societies. We report the amount of lecture time across all of our MBA courses that is devoted directly to such mission-relevant learning. We have further broken this down into environment, social, and governance related topics.

TEACHING METHODS AND WORKLOAD

Learning and teaching methods: Lectures, case studies (group work), in-class exercises, take-home exercises, simulation game

Description	Calculation	Total
In-Class sessions:	10 x 3 hours	30 hours
Class Preparation: (average 2 hours for every 1 hour spent in class)	10 x 2 + 8 (additional reading)	28 hours
Team Assignment(s)		24 hours
Individual Assignment(s)	1 x assignment (final exam)	30 hours
Total Course Hours		112 hours
EC (Number of study credits)	4 EC x 28	112 hours

GRADING AND ASSESSMENT

Course: Advanced Finance		Assessment formats		
Educational goals per course	Participation	Assignment (HBS Case 1+2)	Written exam	Total
After following this course, students will be able to:				
• Judge investment and funding decisions based on financial theory	x		x	
• Discuss whether and how companies should (not) engage in risk management	x		x	
• Evaluate monetary policy decisions	x		x	
• Implement risk management tools	x		x	
• Develop corporate hedging strategies	x	x	x	
• Solve a bargaining problem using game theory	x		x	
Weighting factor	PASS/FAIL	40%	60%	100%
Minimum grade required	n/a	5.5	5.5	5.5
When failed, resit option within academic year (Yes/No)**	Yes	Yes	Yes	
Form of examination (e.g. MC, Open-book, etc.)	In-class exercises	Take-home	Closed-book	
Group / Individual assessment (Group/Individual)	Individual	Group	Individual	

In order to pass the course, each assessment or deliverable (component grade) with a resit option, needs to be at least 5.5. Components with no resit option bear no minimum grade required, but to pass the overall course, the final grade needs to be at least 5.5.

Grades are rounded according to the rounding provisions included in the Teaching and Examination Regulations (TER) of the programme, and are expressed with 1 decimal point. Not meeting the minimum grade required for either a component grade or the overall course grade determines a fail for the course. Participants can resit a failed component only once. There is no capping of the grade for a resit examination. The only exception is when the nature of the failed assignment allows for an improvement effort of the same assignment (capped at 5.5 for that component).

For this particular course, the faculty has decided that *all* assignments allow for *new resit instructions*.

Grade penalties for unauthorized late submissions will be automatically imposed. Penalties for unauthorised late submissions range from 10% to 20% deduction from the examination component depending on the hours/days late. Unauthorised late submissions 4 days or longer after the deadline without prior notification and a reasonable explanation for the late submission, will not be accepted.

Attendance is mandatory and a requirement to pass the course. Missing classes and arriving late may result in grading penalties and even a fail for the course.

Fraud, Plagiarism / Self-plagiarism (Refer to separate RSM Code of Conduct, Rules and Guidelines, and Teaching and Examination Regulations)

The Examination Board defines fraud as “the action or negligence of a student because of which it is impossible, entirely, or partially, to form a correct judgment about the knowledge, insight, and skills of them or another student” (R&Gs and TERs). Examples of fraud are cheating, cribbing, plagiarism, freeriding in a team assignment, availability of unauthorized (study) material during a test such as mobile phones, contract cheating/outsourcing/ghost-writing, unauthorized use of generative AI, identity fraud, theft.

Confirmed cases of fraud/plagiarism will lead to (appropriate and proportional) sanctions as defined by the Examination Board in the Rules and Guidelines (R&G). Repetitive cases of fraud/plagiarism lead to expulsion from the programme.

Plagiarism is presenting another person's work as one's own. Plagiarism includes any paraphrasing or summarising of the work of another person or group without acknowledgment, including submission of another student's work as one's own. Plagiarism frequently involves a failure to acknowledge the quotation of paragraphs, sentences, or even a few phrases written or spoken by someone else.

Using ideas from your own prior work (assignment) without referencing the work in your assignment is considered self-plagiarism.

Participants are required to adhere to the 6 principles outlined in the RSM AI guidelines with regard to the use of Artificial Intelligence Platforms such as ChatGPT and related software/tools. The unauthorised use constitutes violation of plagiarism/ fraud policy. For this particular course, the faculty promotes a **"restrained"** use of AI.

For more information about academic integrity and AI please refer to the Programme's Teaching and Examination Regulations and RSM AI guidelines documents on the [Student Hub](#) (Link).

Assessment / Deliverable:	Individual or group:	(Due) date and hand in location:	% of final grade:
HBS Case 1 + 2	Group	Case 1: 28 September @ 13:30 Case 2: 30 September @ 13:30	40 %
Class Participation	Individual	Each session	PASS/FAIL
Final Exam	Individual	12 October @ 09:30	60 %

For all Canvas submissions, please make sure to include the student name, EUR student number, and programme name within the document itself (on the cover page), and your initials, EUR student number, and programme name in the title of the file submission

REQUIRED TEXTBOOK(S) AND READINGS

Main textbook

- Brealy, Myers, and Allen, Principles of Corporate Finance, 15th ed., McGraw Hill, 2025 (ISBN-13: 9781266283024)

Cases/simulation

- Mihir A. Desai, Mark F. Veblen, Foreign Exchange Hedging Strategies at General Motors: Transactional and Translational Exposures, 205095-PDF-ENG, Harvard Business School.
- Mihir A. Desai, Kathleen Luchs, Alberto Moel, Czech Mate: CME and Vladimir Zelezny (A), 204118-PDF-ENG, Harvard Business School.
- James Emerson, Ben Longoria, Robert Mnookin, Lawrence Susskind, Bankruptcy Multiparty Negotiation Simulation, Harvard Law School.

SUGGESTED EXTRA READINGS, JOURNALS AND WEBSITES

Academic Articles

- Carter, D., Rogers, D. and Simkins, B. (2006), Hedging and Value in the U.S. airline industry, *Journal of Applied Corporate Finance* 18, 21-33.
- Stulz, R. (2022), Rethinking risk management, *Journal of Applied Corporate Finance* 34, 32-46.

Online Resources

- <https://www.portfoliovisualizer.com> (used in session 1)
- Erasmus University MOOC, [Enjoyable Econometrics](#), via coursera.org. The following modules are relevant:
 - Basic statistics
 - Simple regression
 - Multiple regression
- Rice University MOOC, [Finance for Non-Finance Professionals](#), via coursera.org, for independent preparation before the course.
- Online Video Lecture, A Short History of Currency Markets (optional content available via Canvas course page).

DETAILED COURSE SCHEDULE

In addition to the sessions below, there will be two (optional) workshop sessions in which exercises are discussed (also as an additional exam preparation).

- First workshop: September 29th, 13:30 – 14:30
- Second workshop: October 7th, 13:30 – 15:00

Session #0	Session 0: Preparation study in the week leading up to the class and during the first course week	
	Topics:	Independent Reading Participants should be familiar with basic financial concepts, such as discounting cash-flows, basic features of stocks and bonds, interest rates, and the costs of capital, building on the knowledge acquired in the financial management courses. Students are recommended to review basic financial concepts using the following resources: Online course: Finance for Non-Finance Professionals from Rice University on coursera.org. BMA: Chapters 1-6 Financial Management 1+2

Session #1	Session 1, September 3rd, 13:30 – 16:30	
	Topics:	Introduction Recap: NPV and CAPM NPV investment decisions Security valuation Portfolio risk assessment
	In class exercises:	Portfolio construction
	Readings:	BMA: Chapters 5-7 Erasmus University MOOC, <i>Enjoyable Econometrics</i> , module <i>Basic Statistics</i> .

Session #2	Session 2, September 7th, 13:30 – 16:30	
	Topics:	Recap: Expected returns and capital structure Systematic risk Optimal capital structure Risk management theory and practice (1/2) Benefits and disadvantages of risk management
	Readings:	BMA: Chapters 8-9, 17 Stulz (2022), Rethinking risk management.

Session #3	Session 3, September 14th, 13:30 – 16:30	
	Topics:	Risk management theory and practice (2/2) Empirical evidence on risk management practices Hedging tools 1/2 Futures and forwards
	In class exercises:	Accessing global capital markets
	Readings:	BMA: Chapters 27-28 Carter et al. (2006), Hedging and Value in the U.S. airline industry.

Session #4	Session 4, September 16th, 13:30 – 16:30	
	Topics:	Sustainable transition Practitioner insights
	Readings:	TBA

Session #5	Session 5, September 21st, 13:30 – 16:30	
	Topics:	Hedging tools 2/2 Options and Swaps
	In class exercises:	Modifying corporate debt funding structures
	Readings:	BMA: Chapters 27-28

Session #6	Session 6, September 22nd, 13:30 – 16:30	
	Topics:	Understanding the news using international macro-economic concepts International parity conditions Impossibility trinity Macro-economic finance theory in practice
	In class exercises:	Economic crisis in Turkey
	Readings:	BMA: Chapters 28 Online Video Lecture, A Short History of Currency Markets (optional).

Session #7	Session 7, September 23rd, 13:30 – 16:30	
	Topics:	Understanding (and measuring) risk sources Transaction exposure Operating exposure Translation exposure Measuring risk exposure via regression technique
	In class exercises:	Hedging in the German car industry
	Readings:	BMA: Chapters 28 Erasmus University MOOC, Enjoyable Econometrics, modules Simple Regression and Multiple Regression.

Session #8	Session 8, September 28th, 13:30 – 16:30	
	Topics:	HBS case discussion Wildcard
	Readings:	None

Session #9	Session 9, September 30th, 13:30 – 16:30	
	Topics:	Stakeholder conflicts Simulation game – restructuring a bankrupt firm Game theory and bargaining
	In class exercises:	Bankruptcy simulation game
	Readings:	BMA: Chapters 33.4

Session #10	Session 10, October 5th, 13:30 – 16:30	
	Topics:	Foreign direct investments Conflicts of interests between corporate stakeholders in an emerging market country HBS case discussion Q&A
	Readings:	Negotiating a merger deal in an emerging market
	Case:	HBS Case 2

ASSIGNMENTS DESCRIPTION

Two HBS case studies (40% of final grade, teamwork)

Students are required to write a case study report on two case studies. Both case studies will be graded separately and account for half of the total assignment grade each. The report should contain up to six pages including tables and references (font size 11, linespacing 1.15). The final report needs to be uploaded via Canvas until the deadline and must contain the names and student numbers of all participants. Apart from the report, an excel sheet needs to be supplied, which contains all calculations used in the case solution. The groups will be formed during the first lecture (three students per group). Both case studies will be discussed in class. Students should be prepared to discuss their case solutions in class.

Case studies will be made available at the start of the course. The link to access the cases will be provided on Canvas. The case solutions must be handed in before the case is discussed in class.

The questions for the case studies require qualitative and quantitative answers. Whenever possible, use the data provided in the case study to support your answer with a quantitative analysis. Like with other cases from Harvard Business School (HBS), the cases can be addressed from multiple perspectives and students are not required to find the unique master solution, but to provide an original and convincing argumentation for each question supported with empirical analyses.

Grading Rubrics – Case Studies

(each category is assessed separately with a score from 1 to 5)

Scale	Narrative Coherence	Financial Insight and Comprehensiveness	Communication
5	The narrative is exceptionally coherent and insightful. It presents a well-developed line of reasoning, integrating evidence seamlessly into a compelling argument that goes well beyond summarizing facts.	Demonstrates deep financial insight and uses case data comprehensively. The analysis is thoughtful, well-integrated, and includes a broad range of financial indicators and implications. Goes well beyond standard approaches.	Writing/presentation is exceptionally clear, concise, and professional.
4	The argument is clearly structured and thoughtfully developed. It connects facts and interpretation effectively, with signs of critical thinking throughout.	Strong and well-rounded financial analysis. Most relevant case data is used effectively and interpreted with clear understanding. A solid effort with some depth and breadth.	Writing/presentation is clear and concise.
3	A clear and competent narrative. Ideas are logically connected, and the structure supports the argument. Goes beyond listing facts and includes some interpretation, though there may be room for further development.	A sound and competent financial analysis. Key data is used correctly and interpreted reasonably. The response shows a clear understanding of important financial aspects, though it may lack either full depth or completeness.	Writing/presentation is generally clear and easy to follow. Though some room for improvement exists.
2	The structure is basic or inconsistent. The response includes mostly summaries or loosely connected points, with limited analysis or flow of ideas.	Some relevant financial data is included, but analysis is limited or selective. Interpretations are basic, and connections between data and conclusions are underdeveloped.	Writing lacks clarity in parts or contains errors.
1	The response is unclear or disorganized. It presents disconnected points or merely repeats case facts without meaningful interpretation or argument.	Financial information is misused, missing, or presented without meaningful interpretation. Analysis is either absent or not aligned with the case content.	Writing is confusing or difficult to follow.

Final exam (60% of final grade, individual assessment)

A written individual test will be held after the course containing qualitative and quantitative questions. Students will be provided with exercises during the course, which can be used to prepare for the test. In addition, students will receive a mock test (with solutions) during the course.

Students are allowed to create and use a cheat sheet during the exam (one sheet with text on both sides). Students can use MS Excel, MS Word, and a (non-programmable) calculator during the test. Any other material (e.g., books, lecture slides) cannot be used during the exam. A minimum grade of 5.5 is needed for the test to pass the course. A perusal will be held after the written test (announced on Canvas).

Grading Rubrics - Exam

Grade	Label	Description
9.5 – 10.0	Excellent	Demonstrates exceptional insight, precision, and originality. Goes beyond expectations and shows mastery of the material.
8.5 – 9.4	Very Good	Thorough understanding with accurate, well-structured, and often insightful answers. Rare or no errors.
7.5 – 8.4	Good	Solid performance. Arguments are well developed and accurate, with minor mistakes and clear reasoning.
6.5 – 7.4	Satisfactory	Adequate understanding. Answers are mostly correct and reasonably clear but lack depth or may contain small gaps.
5.5 – 6.4	Marginal Pass	Basic understanding with minimal acceptable clarity. Lacks depth and/or contains multiple minor issues. Just meets criteria.
< 5.5	Fail	Does not meet minimum requirements. Shows fundamental misunderstanding, major omissions, or incoherent reasoning.

Participation Grade (PASS/FAIL)

The participation grade is calculated based on the number of correct answers to in-class exercises. The in-class exercises are conducted via smartphone by scanning a QR code and comprise multiple-choice questions that relate to the content of the lecture. A typical class module has two to three in-class questions (except if the content is a different assessment element, e.g., a case discussion). There is a total of 20 questions, and a minimum number of five correct answers needs to be reached to pass the course. Should a participant fail the participation assessment element, participants can compensate by writing an individual case analysis report (assessment of a company's risk management strategy). The case analysis report needs to be completed within two weeks after the last lecture and is assessed according to the same criteria as the case study assessment (see *Grading Rubrics – Case Studies*). A minimum score of 3 in the case study grading rubric is necessary to pass the participation assessment re-sit option.

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